

PRESS RELEASE

Tuesday July 23rd 2013 Mombasa Kenya

PREPARATIONS FOR THE SINGLE CUSTOMS TERRITORY

This is a press statement by Commissioners' General of Kenya, Uganda and Rwanda Revenue Authorities. In the spirit of the East African integration, Kenya Revenue Authority (KRA), Uganda Revenue Authority (URA) and Rwanda Revenue Authority (RRA) have begun preparations for implementation of the Single Customs Territory (SCT).

Background leading to the Launch of the Single Customs Territory

1. The Summit of Heads of State decision of April 2011 directed the Council of Ministers to undertake a study for the attainment of a Single Customs Territory and present their findings.
2. In April 2012, the Summit considered the report of the Council of Ministers and agreed in principle to adopt a Single Customs Territory where taxes are collected at the first point of entry.
3. A High Level Task Force (HLTF) was put in place to advise on the operational framework. This task force has held 5 meetings the most recent meeting being in Burundi and ending this week.
4. On June 25th 2013 at Entebbe Uganda, a Tripartite Summit involving the three Heads of State for Kenya, Uganda and Rwanda issued a joint communiqué directing among others the collection of customs duties by Uganda and Rwanda before goods are released from Mombasa Port and

for the goods destined for warehousing, importers to continue executing the general bond security.

5. It is against the above background that the Commissioners' General of Kenya, Rwanda and Uganda held a consultative meeting in Kigali on 5th July 2013 to deliberate on the mechanisms to operationalize the decisions of the Heads of State.
6. Joint technical committees on ICT, Business Process, Enforcement, Change Management, Legal and Human Resource were put in place to discuss the implementation roadmap.
7. The Commissioners' General agreed to have a working visit to Mombasa to receive the reports from the Joint Technical Committees and also visit the Port of Mombasa. This meeting was held today - 23rd July 2013.
8. The Commissioners' General visit will be followed by a visit of the Ministers of Finance on 15th August 2013 and later a Summit of the three Heads of State in Mombasa.

Anticipated Benefits of the Single Customs Territory:

This development stands to positively impact the three Partner States' trade activities, as it will ensure that assessment and collection of taxes is done at country of destination before such cargo moves out of the Port. As a result the East African Community Customs Union will join the ranks of other Customs Unions such as South African Customs Union and the European Union among others. Under this arrangement, restrictive regulations are eliminated as the corridor is now considered to be one region for customs purposes. For clarity, circulation of goods will happen with no or minimal border controls.

The Partner States have initiated engagement with the Private Sector Associations,

Government Agencies and Clearing Agents Associations (The first meeting being 23rd July -Mombasa) with a view to harmonizing operational logistics and procedures. The Partner States are additionally working on harmonization of Domestic taxes.

The three Partner States have agreed on mutual recognition of customs bonds executed by their respective insurance companies, as cargo destined to bonded warehouses will be verified at port of origin or entry, by liaison Customs Officials representing the destination countries.

This initiative is envisaged to:-

- Reduce cargo clearance delays
- Reduce clearance costs and multiple bond securities
- Eliminate checkpoints along the Northern Corridor
- Ensure seamless flow of goods
- Increase revenue collection through easier payment systems

The general public within East Africa is called upon to support this effort as it is a valuable development in achieving a fully-fledged Customs Union that will enhance regional trade.

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